Cross-border payments as a necessity for Africa's resilience and economic transformation

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Opening remarks by Dr Priscilla Muthoora Thakoor, Governor of the Bank of Mauritius, at the workshop “Cross-border payments as a necessity for Africa's resilience and economic transformation”, organised by the FSB Regional Consultative Group for Sub-Saharan Africa (RCG SSA), Port Louis, 15 July 2026.

Dr Jean Claude Kassi Brou, Governor, Central Bank of West African States

Dr Emmanuel Letete, Governor, Central Bank of Lesotho

Mr Ramsamy Chinniah, Second Deputy Governor, Bank of Mauritius

Mr Nicholas Sikamunga Mukasa, Deputy Governor, Bank of Namibia

Mr Thomas Lammer, Deputy Head of Secretariat, CPMI

Representatives of central banks, IMF, World Bank and other regulatory bodies and institutions

Distinguished guests

Ladies and Gentlemen

All Protocols observed

Good morning, and a very warm welcome to all of you to this Workshop on Cross-Border Payments organized by the FSB Regional Consultative Group for Sub-Saharan Africa.

It is a privilege to host this workshop in Mauritius and an honour for me to address a few words to you.

My remarks today will focus on three broad issues:

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Border Payments
3. What are some of the pressing policy considerations which require the attention of central banks and regulators in our region?

Ladies and gentlemen,

Since 2020, African economies have been most severely tested by a salvo of shocks. Almost all originated outside of our continent. The formulation of our domestic economies policies is increasingly shaped by factors such as pandemics, trade wars, military conflicts, and more frequent and severe climate shocks.

Resilience, a relatively specialized concept prior to 2020, has now joined *macroeconomic stability, inclusion, and sustainability* in the lexicon of policymakers.

The African Continental Free Trade Area, AfCFTA, offers a powerful framework to build economic resilience by tapping into the continent's vast potential and proofing our economies against a variety of supply chain disruptions through greater economic integration.

Discussions about deepening regional economic integration tend to focus on what lies above the surface: the movement of goods, services, capital and people.

In contrast, the movement of money receives far less attention. Yet, it is a critical enabling factor.

Indeed, in many respects, payment systems are the invisible infrastructure that underpins trade, investment, entrepreneurship, financial inclusion and economic integration.

Investors seek markets where funds can move reliably, transparently, and predictably. Modern payment systems, which reduce friction in capital flows and lower transaction costs, enhance the attractiveness of African markets.

Frictionless cross-border payments also matter for financial inclusion. Payment solutions which can connect millions of unbanked and underbanked Africans to formal financial systems enable greater participation in entrepreneurship, digital commerce and economic activity. This is particularly important for women, youth, and micro-enterprises, who often face barriers in accessing traditional financial services.

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Ladies and gentlemen,

The continent has made inroads towards addressing the long-standing inefficiencies in payments since the adoption in October 2020 of the **G20 Roadmap for Enhancing Cross-Border Payments**, developed by the Financial Stability Board (FSB) in coordination with the Committee on Payments and Market Infrastructures (CPMI).

Across the continent, FinTechs are reshaping the payments landscape with mobile wallets, digital platforms, automated processing and innovative payment solutions. These are helping to reduce costs, increase speed, improve transparency and broaden access to financial services.

Africa has already demonstrated global leadership in digital payments. Data from the GSMA suggests that Sub-Saharan Africa accounts for approximately 835 million registered mobile money accounts, while mobile money transactions across the continent exceed US$1.1 trillion.[1] These numbers illustrate Africa's capacity to leapfrog traditional financial infrastructure and embrace innovative digital solutions.

Yet, several challenges persist, as the FSB's 2025 consolidated progress report notes, and thus, Sub-Saharan Africa will fall short of the 2027 G-20 roadmap targets.

Indeed, many payments between African countries still transit through correspondent banking networks outside the continent before reaching their final destination. This increases transaction costs, creates operational risks, and ultimately weakens competitiveness.

Moreover, Africa remains the most expensive region in the world for remittance transfers, with average costs exceeding 8 percent for a USD 200 remittance payment.[2] Every dollar spent in remittance fees is a dollar of foregone investment in education, healthcare, housing or entrepreneurship. In 2024, remittances to sub-Saharan Africa amounted to US$57.2 billion,[3] giving a sense of how much is at stake.

Ladies and gentlemen,

Central banks, Multilateral Development Banks (MDBs) and the private sector have been actively exploring domestic, sub-regional, and pan-African solutions. The goal is to enable instant or near real-time cross-border payments in local currencies, reducing dependence

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Central Automated Switch (MauCAS) and the promotion of interoperable payments systems both within and beyond our borders.

The Bank has been collaborating with the National Payments Corporation of India (NPCI) to interlink MauCAS Instant Payment System (IPS) with India's Unified Payment Interface (UPI). Mauritian and Indian travelers can now use MauCAS QR code payments for settlement of many transactions in Rupees in Mauritius and India.

All these payment infrastructures have laid the groundwork for a modern digital payments ecosystem.

The next step is to strengthen regional and continental connectivity.

Within the Common Market for Eastern and Southern Africa (COMESA), the Regional Payment and Settlement System (REPSS) facilitates faster, cheaper and more secure cross-border payments among member states. The Bank of Mauritius is proud to serve as the settlement bank for REPSS, placing Mauritius at the centre of an important regional payment infrastructure.

Within the Southern African Development Community (SADC), the SADC Real-Time Gross Settlement System (SADC-RTGS) serves as the backbone for regional wholesale settlement, facilitating secure cross-border transactions in central bank money and supporting regional financial integration.

Complementing SADC-RTGS is the Transactions Cleared on an Immediate Basis (TCIB) scheme.[4] TCIB is SADC's first real-time, interoperable cross-border payment platform. It extends the benefits of regional integration to businesses, SMEs and consumers by enabling instant or near real-time payments, reducing remittance costs and promoting financial inclusion. Together, SADC-RTGS and TCIB form a modern payments architecture that supports trade, investment and economic integration across Southern Africa.

Afreximbank's Pan-African Payment and Settlement System (PAPSS) has also emerged as an important component of the regional payments landscape. PAPSS enables instant or near real-time cross-border payments in local currencies, helping reduce dependence on correspondent banks and intermediary currencies.

REPSS, SADC-RTGS, TCIB, and PAPSS can be viewed as complementary building blocks of a

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while fostering integration.

sufficient. In fact, more payments infrastructures can lead to fragmentation, increasing rather reducing inefficiency.

The BIS, the IMF, and the World Bank have underscored the importance of interoperability of payment systems—both within and across borders. To fully realise the benefits of digital payments, African economies need to connect national payment systems, adopt common standards such as ISO20022, harmonise regulatory frameworks, and strengthen collaboration among regulators, banks, FinTechs, and payment service providers.

In many countries on the continent, regulatory fragmentation, foreign exchange constraints, and uneven digital infrastructure continue to present obstacles. The fast-growing adoption of cryptocurrencies, particularly stablecoins, in Sub-Saharan Africa are in part a response to these structural impediments. Their role in facilitating cross-border payments and financial inclusion has received considerable attention.

Stablecoins nevertheless carry significant risks and raise existential questions for central banks and regulators. Their unfettered use can further fragment payments, accelerate disintermediation, and undermine monetary sovereignty, financial stability, and integrity.

Enhancing cross-border payments is thus a necessity for the resilience and economic transformation of African economies. But it is not sufficient.

As payments systems become more interconnected and technologically driven, robust risk assessments, effective regulatory safeguards, and information sharing and collaboration among stakeholders become increasingly important.

Ladies and Gentlemen,

Africa cannot trade efficiently if Africans cannot pay each other efficiently. Cross-border payments are not merely a financial service; they are a strategic enabler of trade, investment, enterprise growth, financial inclusion, and regional integration. In short, enhancing cross border payments is essential for the resilience and economic transformation in our region.

But advancing cross-border payments is not only about facilitating the flow of goods, services, capital, and people. It is also about reinforcing the channels through which central banks safeguard price and financial stability, preserve integrity, and, in doing so,

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Thank you for your attention.

▶ 4 Footnotes

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